

$$2.29 \text{ percent} = (92.25/89)^{(1/3)} - 1.$$

A is incorrect as the result is derived using t of 12. B is incorrect as this result is derived using a PV of CHF95.25 and an FV of 100.

6. A is correct. The YTM is calculated by solving for the RATE spreadsheet function with the following inputs: number of periods of 12 ($=6 \times 2$), coupon payments of 5.35 ($=10.7/2$), PV of -97.50, and FV of 100. The resulting solution for RATE of 5.64 percent is in semiannual terms, so multiply by 2 to calculate annualized YTM of 11.28 percent.

B is incorrect, as 11.50 percent is the result if number of periods used is eight, instead of 12. C is incorrect, as 11.71 percent is the result if the number of periods used is 6, instead of 12.

7. C is correct. We may solve for required return based upon the assumption of constant dividend growth using Equation 21:

$$r = \frac{2.40(1.03)}{60} + 0.03 = 0.0712.$$

B is incorrect as 7.00 percent is the result if we use the previous dividend of CAD2.40 instead of the next expected dividend. A is incorrect as 8.00 percent is simply the required return assumed from one of the Mylandia examples in Question Set 1 in which the price is solved to be a lower value.

8. B is correct. Using Equation 24, the previous input results in the following inequality:

$$15 < \frac{0.50}{0.075 - 0.045} = 16.67.$$

The above inequality implies that the analyst should view the NIFTY 50 as priced too low. The fundamental inputs into the equation imply a forward price to earnings ratio of 16.67 rather than 15. An alternative approach to answering the question would be to solve for implied growth using the observed forward price to earnings ratio of 15 and compare this to the analyst's growth expectations:

$$15 = \frac{0.50}{0.075 - g}.$$

Solving for g yields a result of 4.1667 percent. Since the analyst expects higher NIFTY 50 dividend growth of 4.50 percent, the index is viewed as underpriced.

9. Using cash flow additivity, compare the two opportunities by subtracting Opportunity 2 from Opportunity 1 yielding the following cash flows:

Opportunity 1 – Opportunity 2	0	-30	0	34.992
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Finding the present value of the above cash flows at 8 percent discount rate shows that both investment opportunities have the same present value. Thus, the two opportunities are economically identical, and there is no clear preference for one over the other.

10. C is correct. The one-year forward rate reflects the breakeven one-year reinvestment rate in one year, computed as follows:

$$F_{1,1} = (1+r_2)^2/(1+r_1) - 1,$$

$$F_{1,1} = (1.0129)^2/(1.0073) - 1 = 0.0185.$$

11. A is correct. To avoid arbitrage opportunities in exchanging euros and US dollars, investors must be able to lock in a one-year forward exchange rate of USD/